Sensitivity Analysis: Ranges and Reoptimization

An optimal plan answers one set of data. Sensitivity analysis tells us what survives when those data change.

> **Our route:** update a familiar dictionary → find allowable ranges → choose a reoptimization method → interpret the whole value function.

Bertsimas and Tsitsiklis, Chapter 5.

- A bakery example
- Right-hand sides
- Objective coefficients
- Solver reports
- Global value functions

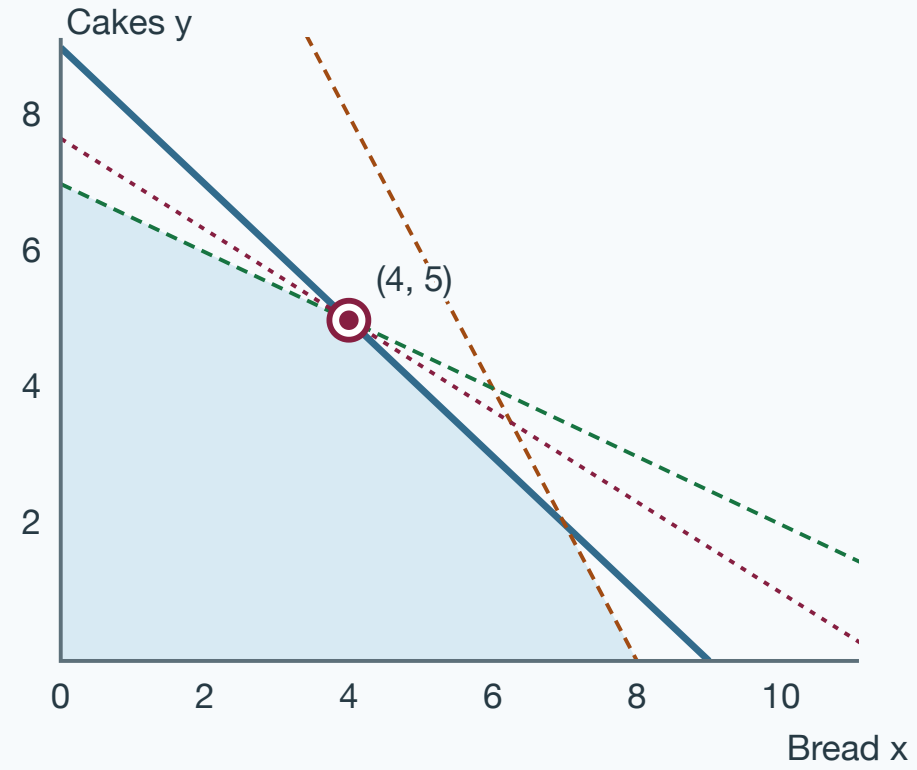
One bakery, two products, three resources

Let x be bread production and y cake production. Quantities are continuous, measured in batches.

$$
\begin{aligned}
\max \quad & z = 2x + 3y \\
\text{s.t.} \quad & x + y \leq 9 && \text{(hours)}, \\
& 2x + y \leq 16 && \text{(flour)}, \\
& x + 2y \leq 14 && \text{(sugar)}, \\
& x, y \geq 0.
\end{aligned}
$$

The optimum is $(x, y) = (4, 5)$, with profit 23.

Hours and sugar are fully used; flour has 3 units left.



Blue: hours; orange: flour; green: sugar. Shading: feasible plans. Maroon dot: optimum. Open circle: current basis. Dotted line: optimal profit.

Start from an optimal dictionary we can check

Add nonnegative slacks: $x + y + s_1 = 9$, $2x + y + s_2 = 16$, $x + 2y + s_3 = 14$.

$$
\begin{aligned}
x &= 4 - 2s_1 + s_3, \\
y &= 5 + s_1 - s_3, \\
s_2 &= 3 + 3s_1 - s_3, \\
z &= 23 - s_1 - s_3.
\end{aligned}
$$

> Basic variables: x, y, s_2. Nonbasic variables: s_1, s_3. Setting the latter to zero gives $(4, 5, 3)$.

This is **maximization**: the nonbasic objective coefficients $-1, -1$ certify optimality. Increasing a nonnegative slack cannot improve profit.

After any change, check two separate things

Question	For this maximizing dictionary
Primal feasibility	Are all basic values nonnegative?
Dual feasibility	Are all nonbasic objective coefficients ≤ 0?

> If both checks pass, the current basis is still optimal.

A change in a right-hand side affects the basic values. A change in a profit coefficient affects the objective row.

We will do the arithmetic first, then summarize it in matrix form.

More flour changes only the unused flour

Bakery: maximize $z = 2x + 3y$, with $x + y \le 9$, $2x + y \le 16$, $x + 2y \le 14$, $x, y \ge 0$.

Change the flour limit from 16 to $16 + \delta$. The hours and sugar equations still give $x = 4, y = 5$.

$$s_2 = (16 + \delta) - 2(4) - 5 = 3 + \delta.$$

$$\delta \ge -3 \quad \Longleftrightarrow \quad b_2 \ge 13, \qquad z^* = 23.$$

Extra flour has zero marginal value here. We can also remove up to 3 units before this basis fails.

Change the hours, then solve the same two equations

Change the hours limit to $9 + \delta$. Keep $s_1 = s_3 = 0$, so hours and sugar remain active:

$$x + y = 9 + \delta, \qquad x + 2y = 14.$$

$$y = 5 - \delta, \qquad x = 4 + 2\delta, \qquad s_2 = 3 - 3\delta.$$

$$4 + 2\delta \geq 0, \quad 5 - \delta \geq 0, \quad 3 - 3\delta \geq 0 \quad \Rightarrow \quad -2 \leq \delta \leq 1.$$

Therefore $7 \leq b_1 \leq 10$. Within this interval, $z^* = 2(4 + 2\delta) + 3(5 - \delta) = 23 + \delta$.

Try the sugar limit before looking at the answer

Bakery: maximize $z = 2x + 3y$, with $x + y \leq 9$, $2x + y \leq 16$, $x + 2y \leq 14$, $x, y \geq 0$.

Replace 14 by $14 + \delta$. Keep $s_1 = s_3 = 0$. Find the three basic values, the allowable interval, and the profit.

Use $x + y = 9$ and $x + 2y = 14 + \delta$, then compute $s_2 = 16 - 2x - y$.

Take two minutes. Check all three basic values, including unused flour.

Sugar can decrease by 3 or increase by 4

$$x = 4 - \delta, \qquad y = 5 + \delta, \qquad s_2 = 3 + \delta.$$

$$-3 \le \delta \le 4, \qquad 11 \le b_3 \le 18, \qquad z^* = 23 + \delta.$$

Endpoint	What reaches zero?
$\delta = -3$	Unused flour $s_2 = 0$.
$\delta = 4$	Bread production $x = 0$.

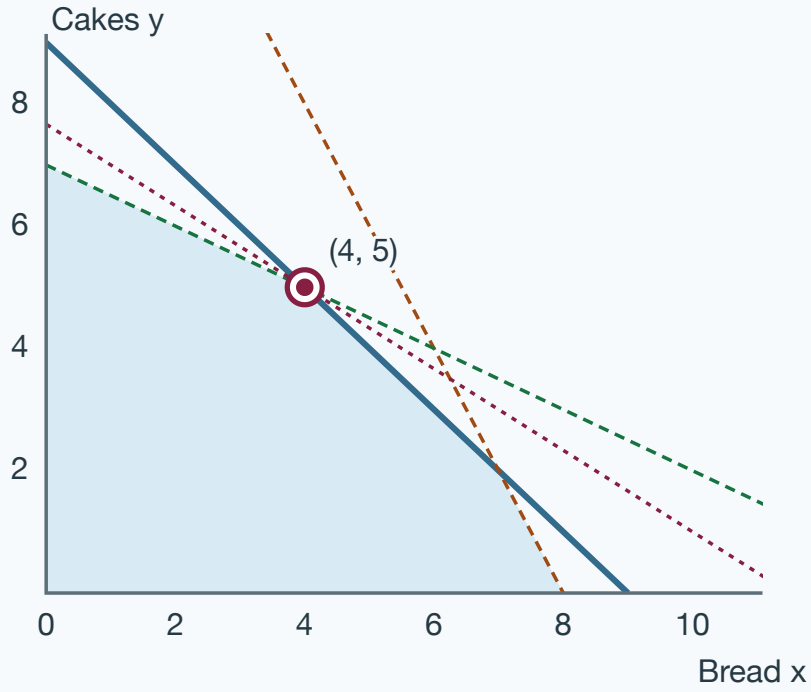
The reduced costs have not changed. Feasibility of these basic quantities is the only new test.

Watch a basis reach the end of its range

Maximize $2x + 3y$ with resource coefficients $(1, 1), (2, 1), (1, 2)$ and nonnegative quantities.

Changed resource	Allowed change
Hours	$[-2, 1]$
Flour	$[-3, \infty)$
Sugar	$[-3, 4]$

RHS 9; change 0. Basic values (4, 5, 3): feasible. Profit 23.



Circle: current basis; dot: optimum. A basis can fail while the LP stays feasible. Blue: hours; orange: flour; green: sugar.

Outside the range, dual simplex repairs feasibility

Set the hours limit to 11, so $\delta = 2$. The updated dictionary is

$$x = 8 - 2s_1 + s_3, \qquad y = 3 + s_1 - s_3,$$
$$s_2 = -3 + 3s_1 - s_3, \qquad z = 25 - s_1 - s_3.$$

> The value of s_2 is negative, but objective coefficients are still nonpositive. Dual simplex lets s_2 leave and s_1 enter.

$$s_1 = 1 + \tfrac{1}{3}s_2 + \tfrac{1}{3}s_3, \qquad z = 24 - \tfrac{1}{3}s_2 - \tfrac{4}{3}s_3.$$

The new feasible optimum is $(x, y) = (6, 4)$, profit 24. The old prediction 25 was an upper bound, not an attainable optimum.

Complete new dictionary

Separate allowable ranges cannot simply be combined

Let the three resource changes be $\delta_1, \delta_2, \delta_3$. The same active equations give

$$\begin{aligned} x &= 4 + 2\delta_1 - \delta_3, \\ y &= 5 - \delta_1 + \delta_3, \\ s_2 &= 3 - 3\delta_1 + \delta_2 + \delta_3. \end{aligned}$$

> Choose $(\delta_1, \delta_2, \delta_3) = (1, -3, 0)$. Each change is individually allowed, but together they give $s_2 = -3$.

The exact test is that **all three combined expressions** are nonnegative. If so, profit is $23 + \delta_1 + \delta_3$.

The 100% rule is a sufficient shortcut

For each changed RHS, let d_i be its one-at-a-time allowable change in the chosen direction. Divide the magnitude of the actual change by that allowance:

$$R = \sum_i \frac{|\delta_i|}{d_i}.$$

> If $R \le 1$, the current basis remains feasible. An unbounded allowance contributes zero. A nonzero change with zero allowance is not certified.

Hours $+0.5$ and sugar -1: $R = 0.5/1 + 1/3 = 5/6 \le 1$.

The rule is **sufficient, not necessary**. Hours $+1$ and sugar $+3$ give $R = 7/4 > 1$, yet $(x, y, s_2) = (3, 7, 3) \ge 0$.

Why the rule works

Change bread profit by substituting its dictionary row

Keep all resource limits fixed. Change bread profit from 2 to $2+\theta$, keeping cake profit 3.

$$\begin{aligned} z_{\text{new}} &= (23 - s_1 - s_3) + \theta x \\ &= 23 + 4\theta + (-1 - 2\theta)s_1 + (-1 + \theta)s_3. \end{aligned}$$

$$-1 - 2\theta \le 0, \quad -1 + \theta \le 0 \quad \Rightarrow \quad -\tfrac{1}{2} \le \theta \le 1.$$

Thus $1.5 \le c_x \le 3$. Quantities stay $(4, 5)$; profit becomes $23 + 4\theta$.

A nonbasic cost change affects one objective coefficient

Suppose the bakery can sell unused hours for κ per unit. The new objective is $2x + 3y + \kappa s_1$.

$$z_{\text{new}} = 23 + (\kappa - 1)s_1 - s_3.$$

> The old basis remains optimal exactly when $\kappa \leq 1$. Its quantities and profit stay unchanged because $s_1 = 0$.

For $\kappa > 1$, leaving some hours unused can improve the objective. The basic values are still feasible; **primal simplex** can reoptimize.

Contrast: a basic-variable cost change can alter several objective coefficients.

For two profit changes, check both coefficients together

Change profits to $2 + \theta_1$ and $3 + \theta_2$. Substitute both basic-variable rows:

$$\begin{aligned} z = 23 &+ 4\theta_1 + 5\theta_2 \\ &+ (-1 - 2\theta_1 + \theta_2)s_1 \\ &+ (-1 + \theta_1 - \theta_2)s_3. \end{aligned}$$

$$\theta_1 - 1 \le \theta_2 \le 1 + 2\theta_1.$$

With only cake profit changing: $-1 \le \theta_2 \le 1$, or $2 \le c_y \le 4$. With both changing, use the joint inequalities.

The matrix form summarizes the same arithmetic

Order the variables as (x, y, s_1, s_2, s_3), and the basis as (x, y, s_2).

$$B = \begin{pmatrix} 1 & 1 & 0 \\ 2 & 1 & 1 \\ 1 & 2 & 0 \end{pmatrix}, \qquad B^{-1} = \begin{pmatrix} 2 & 0 & -1 \\ -1 & 0 & 1 \\ -3 & 1 & 1 \end{pmatrix}.$$

$$x_{\mathcal{B}}^{\text{new}} = (4, 5, 3)^\top + B^{-1}\Delta b,$$
$$p^\top = (2, 3, 0)B^{-1} = (1, 0, 1).$$

The columns of B^{-1} reproduce our three resource-change directions. The dual variables p reproduce their marginal profits.

A new product is a new column to price

Keep the bakery limits $(9, 16, 14)$. Add product $t \geq 0$, using $(1, 2, 1)$ units of hours, flour, and sugar, with profit 4 per batch.

$$\text{Reduced profit} = 4 - p^{\top}(1, 2, 1) = 4 - (1 + 0 + 1) = 2.$$

> Setting $t = 0$ keeps the old plan feasible. The positive reduced profit makes t an entering candidate for this maximization problem.

Substitution gives $z = 23 - s_1 - s_3 + 2t$. The first pivot reaches profit 31; a second reaches the optimum $(x, y, t) = (0, 2, 7)$, profit 34.

See every constraint and both pivots

A new constraint may call for dual simplex

Bakery: maximize $z = 2x + 3y$, with $x + y \leq 9$, $2x + y \leq 16$, $x + 2y \leq 14$, $x, y \geq 0$.

Add the requirement $x \leq 3$. The old optimum has $x = 4$, so it violates the new row.

$$x + s_4 = 3 \quad \Rightarrow \quad s_4 = 3 - x = -1 + 2s_1 - s_3.$$

Use s_4 as the additional basic variable. Its value is negative; the objective $z = 23 - s_1 - s_3$ still has the required signs.

Dual simplex repairs this. If a new inequality were already satisfied by the old optimum, that optimum would remain optimal.

Complete repair pivot

Changing resource use can affect both checks

For a nonbasic product j, keep its quantity zero and change resource use a_{ij} by δ. The current plan remains feasible.

$$\bar{c}_j^{\text{new}} = \bar{c}_j - \delta p_i.$$

> For maximization, require the new reduced profit to be nonpositive. The sign of the dual variable matters when solving this inequality.

If a **basic** product's resource use changes, its column in B changes. Recompute basic values *and* reduced costs.

Worked basic-column change and local derivative

The failed check tells us how to continue

Basic values feasible?	Reduced costs have correct signs?	Next step
Yes	Yes	Current basis remains optimal.
Yes	No	Primal simplex.
No	Yes	Dual simplex.
No	No	Repair feasibility, then optimize; Phase I is available.

> Outside a sensitivity range, reoptimize. A failed basis test alone establishes neither infeasibility nor unboundedness.

A sensitivity report summarizes these calculations

Resource	RHS	Slack	Dual variable	Absolute RHS interval
Hours	9	0	1	$[7, 10]$
Flour	16	3	0	$[13, \infty)$
Sugar	14	0	1	$[11, 18]$

Product	Quantity	Profit coefficient	Reduced cost	Absolute profit interval
Bread	4	2	0	$[1.5, 3]$
Cake	5	3	0	$[2, 4]$

Intervals change one parameter at a time. They describe this optimal basis, and their endpoints are parameter values, not increments.

Build the same continuous LP in Python

```
import gurobipy as gp
from gurobipy import GRB
m = gp.Model("bakery")
x = m.addVar(lb=0, name="bread")
y = m.addVar(lb=0, name="cake")
m.setObjective(2*x + 3*y, GRB.MAXIMIZE)
m.addConstr(x + y <= 9, name="hours")
m.addConstr(2*x + y <= 16, name="flour")
m.addConstr(x + 2*y <= 14, name="sugar")
m.Params.Method = 1  # dual simplex: obtain a basis
m.optimize()
```

The solution is continuous; these are batches, not integer counts.

Read dual values and absolute allowable ranges

```python
if m.Status == GRB.OPTIMAL:
    for row in m.getConstrs():
        print(row.ConstrName, row.Slack, row.Pi,
              row.SARHSLow, row.SARHSUp)
    for var in m.getVars():
        print(var.VarName, var.X, var.RC,
              var.SAObjLow, var.SAObjUp)
```

`Pi`: dual variable; RC: reduced cost. SARHS… and `SAObj`…: RHS and objective-coefficient limits. Sensitivity ranges require a basic solution.

At degeneracy, another optimal basis may report different valid ranges. A zero dual variable does not imply that the constraint is inactive.

Gurobi attribute reference

From one allowable interval to the whole value function

To match the textbook convention, now write the bakery as **minimization** of $f = -z = -2x - 3y$. The feasible set is unchanged.

> For a standard-form minimization LP, define $F(b) = \min\{c^\top x : Ax = b,\ x \geq 0\}$, wherever the optimum is finite.

$$F(b) = \max_{A^\top p \leq c} p^\top b.$$

Each feasible dual vector supplies a linear lower bound. The best such bound is a convex, piecewise-linear value function.

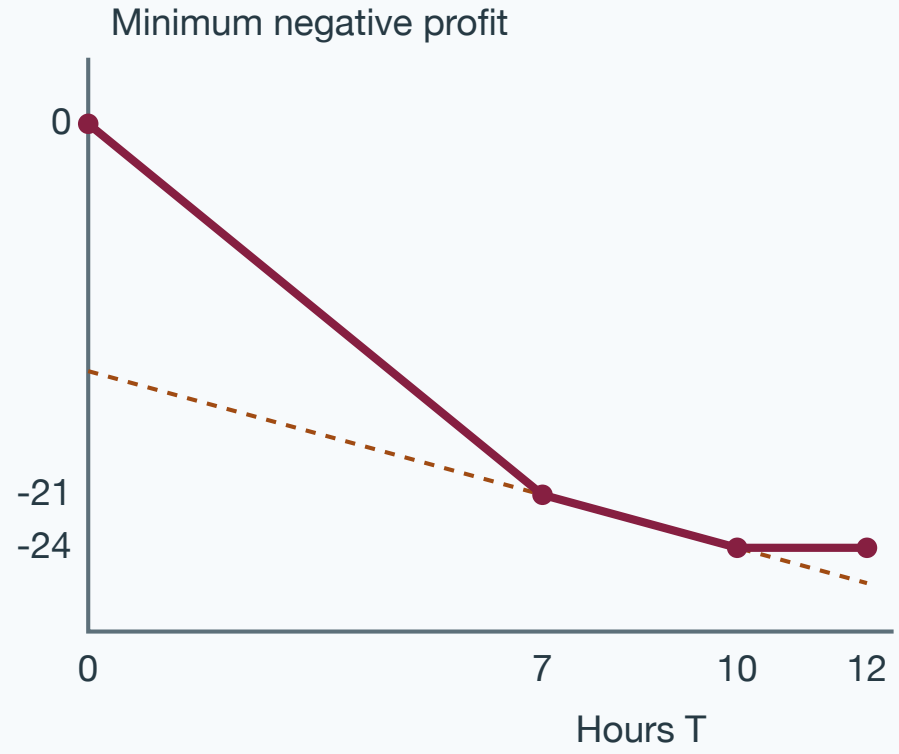
The bakery's maximum profit has the opposite sign, so it is concave in resource limits.

The marginal value changes when a new resource becomes scarce

Minimize $-2x - 3y$ with $x + y \le T$, $2x + y \le 16$, $x + 2y \le 14$, $x, y \ge 0$, $T \ge 0$.

$$F(T) = \begin{cases} -3T, & 0 \le T \le 7, \\ -T - 14, & 7 \le T \le 10, \\ -24, & T \ge 10. \end{cases}$$

At $T = 9$, the slope is -1: one more hour reduces negative profit by 1, or increases profit by 1.



The dashed line –T–14 is the global lower bound supplied by the dual solution at T=9.

A dual solution gives a supporting slope even at a corner

For minimization, an optimal dual vector p^* at b^* always gives

$$F(b) \geq F(b^*) + (p^*)^\top (b - b^*).$$

A vector satisfying this inequality is called a **subgradient**: its affine prediction is a global lower bound.

At $T = 7$ in our graph, left slope is -3 and right slope is -1. Every slope between them supports the graph; there is no single two-sided derivative.

At differentiable points, this supporting vector is the gradient. At corners, do not treat one reported dual value as the unique marginal change in every direction.

Full statement and proof

Changing costs selects among fixed feasible plans

Keep the original bakery constraints and minimize $-qx - 3y$, where q is bread's profit coefficient.

$$G(q) = \min\{-21,\ -4q - 15,\ -7q - 6,\ -8q\} \quad (q \geq 0).$$

> Each expression is one feasible vertex's cost. The minimum of these affine functions is concave and piecewise linear.

As q crosses $1.5, 3, 6$, the selected production plan changes.



Each line is the cost of a fixed feasible production plan. The minimum selects the best plan.

Trace the breakpoints instead of solving unrelated cases

For minimization with costs $c + \theta d$, a fixed basis has reduced costs

$$\bar{c}_j(\theta) = c_j + \theta d_j - (c_{\mathcal{B}} + \theta d_{\mathcal{B}})^\top B^{-1} A_j.$$

> Find the interval where all required signs hold. At an endpoint, pivot to a basis valid on the next interval. Ties require the anticycling care already studied.

Cost changes leave primal feasibility intact: use primal simplex. RHS changes leave reduced costs intact: use dual simplex.

Worked breakpoint pivot in the bakery

Turn a sensitivity calculation into a purchasing decision

In the bakery, the current dual variables are $(1, 0, 1)$, with hours 9, flour 16, sugar 14.

> A supplier offers 0.5 more hours for total cost 0.3. The change is inside the hours range. Extra operating profit is $1(0.5) = 0.5$, giving net gain 0.2.

An offer of 3 extra hours needs reoptimization. The old plan's formula would predict 26, but maximum profit is only 24, so the total gain is 1.

Compare money with money, state the range, and include procurement cost separately from operating profit.

Different production policies can change the scarce resource

In computer production, configurations consume memory boards and disk drives. Demand requirements and permitted substitute boards determine the feasible plans.

Question	Sensitivity analysis helps answer
Buy more of which component?	Compare dual values, units, and allowable increases.
Allow a substitute component?	Add its activity or column and check its reduced cost.
Change a demand policy?	Rebuild the affected constraints and reoptimize.

> A resource price belongs to a particular model and basis. A price reported under one policy cannot automatically be used under another.

Practice: decide which optimality check survives

> **Bakery:** maximize $z = 2x + 3y$, with $x + y \le 9$, $2x + y \le 16$, $x + 2y \le 14$, $x, y \ge 0$.

Change	Your task
Hours increase by 0.5	Find the quantities, slack, and new profit.
Bread profit increases to 3.2	Decide whether this basis remains optimal.
Add x ≤ 3	Choose a reoptimization method and explain why.

Use the dictionary on page 3. Work in pairs for three minutes.

Practice answers: feasibility and objective signs play different roles

Change	Result
Hours +0.5	$(x, y, s_2) = (5, 4.5, 1.5)$; profit 23.5.
Bread profit 3.2	$\theta = 1.2$; coefficient of s_3 becomes $0.2 > 0$. Use primal simplex.
Add x ≤ 3	New slack $s_4 = -1$; old reduced costs still have correct signs. Use dual simplex.

> Always identify the changed data and the surviving property before choosing an algorithm.

Study guide: a range is a claim about one basis

Be able to: update a dictionary after an RHS or cost change; check combined changes; interpret a solver report; choose primal or dual simplex; distinguish local predictions from global value functions.

Read Bertsimas and Tsitsiklis, Chapter 5. The appendix contains complete derivations, a second minimization example, and proofs of the global statements.

- Basis formulas
- 100% rule proof
- Changing A
- Value-function proofs
- Second worked example

Appendix: calculations and proofs

These pages retain the algebra behind the examples and establish the general statements.

- Derive the bakery dictionary
- Complete reoptimization pivots
- Matrix formulas and simultaneous changes
- Convexity, concavity, and supporting slopes
- A minimization example

Derive the optimal dictionary by subtraction

$$x + y + s_1 = 9, \qquad x + 2y + s_3 = 14.$$

Subtract the first equality from the second, then substitute back:

$$y = 5 + s_1 - s_3, \qquad x = 9 - s_1 - y = 4 - 2s_1 + s_3.$$

$$s_2 = 16 - 2x - y = 3 + 3s_1 - s_3,$$
$$z = 2x + 3y = 23 - s_1 - s_3.$$

All variables are nonnegative. The objective is at most 23, attained when $s_1 = s_3 = 0$.

Derive all RHS changes in one dictionary

Write limits $(9+\delta_1, 16+\delta_2, 14+\delta_3)$. Subtract the first resource equation from the third, then substitute:

$$
\begin{aligned}
x &= 4 + 2\delta_1 - \delta_3 - 2s_1 + s_3, \\
y &= 5 - \delta_1 + \delta_3 + s_1 - s_3, \\
s_2 &= 3 - 3\delta_1 + \delta_2 + \delta_3 + 3s_1 - s_3, \\
z &= 23 + \delta_1 + \delta_3 - s_1 - s_3.
\end{aligned}
$$

> The RHS changes only constants. The objective coefficients of nonbasic variables remain –1, –1.

Complete dual-simplex pivot when hours increase to 11

Before: $s_2 = -3 + 3s_1 - s_3$. Solve it for s_1 and substitute into every row:

$$
\begin{aligned}
s_1 &= 1 + \tfrac{1}{3}s_2 + \tfrac{1}{3}s_3, \\
x &= 6 - \tfrac{2}{3}s_2 + \tfrac{1}{3}s_3, \\
y &= 4 + \tfrac{1}{3}s_2 - \tfrac{2}{3}s_3, \\
z &= 24 - \tfrac{1}{3}s_2 - \tfrac{4}{3}s_3.
\end{aligned}
$$

Set $s_2 = s_3 = 0$: $(x, y, s_1) = (6, 4, 1)$, with profit 24. Both sign checks pass.

Full dictionary after adding a product

Maximize $2x + 3y + 4t$, subject to $x + y + t \leq 9$, $2x + y + 2t \leq 16$, $x + 2y + t \leq 14$, $x, y, t \geq 0$.

$$
\begin{aligned}
x &= 4 - 2s_1 + s_3 - t, \\
y &= 5 + s_1 - s_3, \\
s_2 &= 3 + 3s_1 - s_3, \\
z &= 23 - s_1 - s_3 + 2t.
\end{aligned}
$$

Increase t. Only x decreases, so the step is 4: t enters and x leaves.

The new product replaces bread in one pivot

$$
\begin{aligned}
t &= 4 - x - 2s_1 + s_3, \\
y &= 5 + s_1 - s_3, \\
s_2 &= 3 + 3s_1 - s_3, \\
z &= 31 - 2x - 5s_1 + s_3.
\end{aligned}
$$

The point $(x, y, t) = (0, 5, 4)$ has profit 31, but the positive s_3 coefficient means it is **not yet optimal**.

Let s_3 enter. Both y and s_2 decrease; s_2 reaches zero first at step 3.

$$
(x, y, t) = (0, 2, 7), \qquad z = 34.
$$

Final dictionary and certificate

Finish the new-product optimization

From $s_2 = 3 + 3s_1 - s_3$, solve $s_3 = 3 + 3s_1 - s_2$ and substitute:

$$
\begin{aligned}
t &= 7 - x + s_1 - s_2, \\
y &= 2 - 2s_1 + s_2, \\
s_3 &= 3 + 3s_1 - s_2, \\
z &= 34 - 2x - 2s_1 - s_2.
\end{aligned}
$$

All reduced profits are nonpositive. The optimum is $(0, 2, 7)$, with profit 34. The dual solution $p = (2, 1, 0)$ gives the same bound $9(2) + 16(1) = 34$.

Complete repair after adding x ≤ 3

The new row is $s_4 = -1 + 2s_1 - s_3$. Let s_4 leave and s_1 enter:

$$
\begin{aligned}
s_1 &= \tfrac{1}{2} + \tfrac{1}{2}s_3 + \tfrac{1}{2}s_4, \\
x &= 3 - s_4, \\
y &= \tfrac{11}{2} - \tfrac{1}{2}s_3 + \tfrac{1}{2}s_4, \\
s_2 &= \tfrac{9}{2} + \tfrac{1}{2}s_3 + \tfrac{3}{2}s_4, \\
z &= \tfrac{45}{2} - \tfrac{3}{2}s_3 - \tfrac{1}{2}s_4.
\end{aligned}
$$

Thus $(x, y) = (3, 5.5)$ is optimal with profit 22.5. The new constraint reduces the best profit.

Basis formulas: equality constraints first

For $\min c^\top x$ subject to $Ax = b, x \geq 0$, partition columns into invertible B and nonbasic block N.

$$Bx_{\mathcal{B}} + Nx_{\mathcal{N}} = b \quad \Rightarrow \quad x_{\mathcal{B}} = B^{-1}b - B^{-1}Nx_{\mathcal{N}}.$$

$$c^\top x = c_{\mathcal{B}}^\top B^{-1}b + \underbrace{(c_{\mathcal{N}}^\top - c_{\mathcal{B}}^\top B^{-1}N)}_{\bar{c}_{\mathcal{N}}^\top} x_{\mathcal{N}}.$$

An optimal basis requires $B^{-1}b \geq 0$ and $\bar{c}_{\mathcal{N}} \geq 0$. For maximization, reverse only the reduced-cost sign.

A general one-at-a-time RHS interval

Change b_i by δ. Define $g = B^{-1}e_i$, where e_i has 1 in position i and zeros elsewhere.

$$x_{\mathcal{B}}(\delta) = x_{\mathcal{B}} + \delta g.$$

$$\max_{k:g_k>0} \frac{-x_{\mathcal{B},k}}{g_k} \le \delta \le \min_{k:g_k<0} \frac{-x_{\mathcal{B},k}}{g_k}.$$

An empty lower set gives $-\infty$; an empty upper set gives $+\infty$. Rows with $g_k = 0$ impose no new restriction.

The reduced costs do not change. With $p^\top = c_{\mathcal{B}}^\top B^{-1}$, the optimal value inside this interval is $F(b) + \delta p_i$.

Why the 100% rule guarantees feasibility

Let d_i be the positive finite allowable magnitude in the chosen direction, and v_i the signed change of basic values per unit. Then $x_{\mathcal{B}} + d_i v_i \geq 0$.

Set $\alpha_i = |\delta_i|/d_i$. If $\sum_i \alpha_i \leq 1$, then

$$x_{\mathcal{B}} + \sum_i |\delta_i| v_i = \left(1 - \sum_i \alpha_i\right) x_{\mathcal{B}} + \sum_i \alpha_i (x_{\mathcal{B}} + d_i v_i) \geq 0.$$

> This is a nonnegative combination of feasible basic-value vectors. Directions with infinite allowance have nonnegative components and can be added separately.

Cancellation between different directions can preserve feasibility even when the percentage sum exceeds 100%.

General cost changes: include the changing basic costs

For minimization, change c to $c + \Delta c$. The quantities stay $B^{-1}b$, while

$$\bar{c}_{\mathcal{N}}^{\text{new}} = \bar{c}_{\mathcal{N}} + \Delta c_{\mathcal{N}} - N^{\top} B^{-\top} \Delta c_{\mathcal{B}}.$$

> Nonbasic cost c_j changes alone: require $\bar{c}_j + \delta \geq 0$. Basic cost in basis position k changes: require $\bar{c}_j - \delta (B^{-1} A_j)_k \geq 0$ for every nonbasic j.

The new value, while this basis remains optimal, is $(c_{\mathcal{B}} + \Delta c_{\mathcal{B}})^{\top} x_{\mathcal{B}}$.

Changing a nonbasic column: retain its old reduced cost

For minimization, replace nonbasic column A_j by $A_j + \delta e_i$. The basis and basic values are unchanged.

$$\begin{aligned} \bar{c}_j^{\text{new}} &= c_j - p^\top (A_j + \delta e_i) \\ &= \bar{c}_j - \delta p_i. \end{aligned}$$

> Require $\bar{c}_j - \delta p_i \geq 0$. If $p_i > 0$, this is $\delta \leq \bar{c}_j / p_i$. If $p_i < 0$, reverse the inequality. If $p_i = 0$, this entry change has no effect on that reduced cost.

All other reduced costs stay unchanged.

A basic-column change is not generally linear in size

In the bakery, replace the hours constraint by $(1+\varepsilon)x + y \le 9$, keeping the other constraints and profits.

Keeping hours and sugar active gives $(1+\varepsilon)x + y = 9$ and $x + 2y = 14$, hence

$$x = \frac{4}{1+2\varepsilon}, \quad y = 7 - \frac{2}{1+2\varepsilon}, \quad s_2 = 9 - \frac{6}{1+2\varepsilon}.$$

$$z(\varepsilon) = 21 + \frac{2}{1+2\varepsilon}, \qquad z'(0) = -4 = -p_1 x^*.$$

For $\varepsilon \ge -1/6$, this basis is feasible and dual feasible. Below that limit, recheck or reoptimize.

Why the coefficient-change derivative is $-p_i x_j$

For a basic column in position k, let $B(\delta) = B + \delta e_i e_k^\top$. Suppose this basis remains invertible, feasible and dual feasible for small δ. Let $v(\delta) = c_{\mathcal{B}}^\top x_{\mathcal{B}}(\delta)$ be the optimal value.

$$B(\delta) x_{\mathcal{B}}(\delta) = b \quad \Rightarrow \quad e_i x_j^* + B x'_{\mathcal{B}}(0) = 0.$$

$$v'(0) = c_{\mathcal{B}}^\top x'_{\mathcal{B}}(0) = -c_{\mathcal{B}}^\top B^{-1} e_i x_j^* = -p_i x_j^*.$$

> Strict basic values and strict nonbasic reduced-cost signs are sufficient to keep the basis optimal for sufficiently small changes. At degeneracy or a breakpoint, a unique derivative is not automatic.

RHS convexity: combine two feasible optimal plans

Fix A, c, and assume a finite optimum at feasible RHS vectors b^1, b^2. Let their optimal plans be x^1, x^2. For $0 \le \lambda \le 1$, set $\hat{x} = \lambda x^1 + (1-\lambda)x^2$.

$$A\hat{x} = \lambda b^1 + (1-\lambda)b^2, \qquad \hat{x} \ge 0.$$

$$\begin{aligned} F(\lambda b^1 + (1-\lambda)b^2) &\le c^\top \hat{x} \\ &= \lambda F(b^1) + (1-\lambda)F(b^2). \end{aligned}$$

This is exactly the convexity inequality.

Why there are finitely many linear pieces

Assume A has full row rank and the dual set $D = \{p : A^\top p \le c\}$ is nonempty. It has no lines and has finitely many vertices $p^1, \dots, p^K$.

For each feasible RHS with finite optimum, a dual vertex attains the maximum. Strong duality gives

$$F(b) = \max_{k=1,\dots,K} (p^k)^\top b.$$

> Each vertex supplies a linear function. Their maximum is convex and piecewise linear. Several may agree at a breakpoint.

Dependent equality rows can be removed first. Do not infer a unique dual vector merely because a plotted one-dimensional segment is straight.

An optimal dual vector is a subgradient

Extend $F(b)$ to $+\infty$ outside $S = \{Ax : x \geq 0\}$, and assume $D \neq \varnothing$. Let $p^* \in D$ attain the dual optimum at b^*.

$$\begin{aligned} F(b) &\geq (p^*)^\top b \\ &= F(b^*) + (p^*)^\top (b - b^*). \end{aligned}$$

> This follows directly from weak duality and equality of primal and dual values at the reference RHS.

A **subgradient** is any vector giving this supporting inequality for every b. The next page proves the converse.

Every subgradient is an optimal dual vector

Suppose q satisfies the supporting inequality at b^*. Because $F(0) = 0$ and $F(2b^*) = 2F(b^*)$, substitution of these two RHS vectors gives

$$q^\top b^* \geq F(b^*), \qquad q^\top b^* \leq F(b^*).$$

Thus $q^\top b^* = F(b^*)$. For each column A_j, the plan $x = e_j$ is feasible and costs c_j. Therefore

$$c_j \geq F(A_j) \geq F(b^*) + q^\top (A_j - b^*) = q^\top A_j.$$

So $A^\top q \leq c$ and $q^\top b^* = F(b^*)$: q is dual optimal.

Cost concavity: minimize over a fixed feasible set

Fix nonempty $P = \{x : Ax = b, x \geq 0\}$. On costs with finite optimum, let $G(c) = \min_{x \in P} c^\top x$.

$$\begin{aligned} G(\lambda c^1 + (1-\lambda)c^2) &= \min_{x \in P} \{\lambda (c^1)^\top x + (1-\lambda)(c^2)^\top x\} \\ &\geq \lambda G(c^1) + (1-\lambda) G(c^2). \end{aligned}$$

A basic feasible optimum exists, so $G(c) = \min_k c^\top x^k$ over the finite set of basic feasible solutions. It is concave and piecewise linear.

> An optimal x^* at c^* gives an upper supporting bound: $G(c) \leq G(c^*) + (x^*)^\top (c - c^*)$. Such a vector is a **supergradient**.

A cost breakpoint: bread profit rises past 3

For maximizing $qx + 3y$, the original basis has

$$z = 4q + 15 + (3 - 2q)s_1 + (q - 3)s_3.$$

At $q = 3$, the coefficient of s_3 is zero. Just above 3, let s_3 enter. The ratio test gives s_2 leaving at step 3.

$$\begin{aligned} s_3 &= 3 + 3s_1 - s_2, \\ x &= 7 + s_1 - s_2, \qquad y = 2 - 2s_1 + s_2, \\ z &= 7q + 6 + (q - 6)s_1 + (3 - q)s_2. \end{aligned}$$

The new basis is optimal for $3 \le q \le 6$. At $q = 6$, the next breakpoint is reached.

Verify all three RHS-value pieces

Use hours $T \geq 0$, flour 16, sugar 14, and maximize $2x + 3y$.

Hours	Optimal plan	Matching dual variables
$0 \leq T \leq 7$	$(0, T)$, profit $3T$	$(3, 0, 0)$
$7 \leq T \leq 10$	$(2T - 14, 14 - T)$, profit $T + 14$	$(1, 0, 1)$
$T \geq 10$	$(6, 4)$, profit 24	$(0, 1/3, 4/3)$

Every listed plan is feasible on its interval and attains its dual upper bound. Negate profits and dual variables to obtain the minimization graph.

Second example: minimization in standard form

$$\begin{aligned} \min \quad & 2x_1 + 5x_2 + 8x_3 + 6x_4 \\ \text{s.t.} \quad & x_1 + x_2 + 2x_3 = 5, \\ & x_2 + x_3 + x_4 = 3, \qquad x \geq 0. \end{aligned}$$

$$\begin{aligned} x_1 &= 2 - x_3 + x_4, \\ x_2 &= 3 - x_3 - x_4, \\ f &= 19 + x_3 + 3x_4. \end{aligned}$$

Basic variables x_1, x_2; optimum $(2, 3, 0, 0)$, cost 19. The nonnegative objective coefficients have the minimization sign.

Second example: change the second RHS

Replace 3 by $3+\delta$, with $x_3 = x_4 = 0$.

$$x_2 = 3+\delta, \qquad x_1 = 2-\delta.$$

$$-3 \le \delta \le 2, \qquad f^* = 2(2-\delta) + 5(3+\delta) = 19 + 3\delta.$$

Dual variables $p = (2, 3)$ are unchanged. At $\delta = -3$, $x_2 = 0$; at $\delta = 2$, $x_1 = 0$.

For simultaneous changes Δb, the basic values are $(2 + \Delta b_1 - \Delta b_2,\ 3 + \Delta b_2)$; test both together.

Second example: nonbasic and basic costs

Original objective dictionary: $f = 19 + x_3 + 3x_4$.

Change nonbasic cost $c_3 = 8 + \theta$: $f = 19 + (1 + \theta)x_3 + 3x_4$. Require $\theta \geq -1$, or $c_3 \geq 7$.

Change basic cost $c_1 = 2 + \theta$: substitute $\theta x_1 = \theta(2 - x_3 + x_4)$.

$$f = 19 + 2\theta + (1 - \theta)x_3 + (3 + \theta)x_4.$$

Require $-3 \leq \theta \leq 1$. Quantities stay $(2, 3, 0, 0)$; the dual vector becomes $(2 + \theta, 3 - \theta)$.

Second example: verify the matrix and dual formulas

$$B = \begin{pmatrix} 1 & 1 \\ 0 & 1 \end{pmatrix}, \quad B^{-1} = \begin{pmatrix} 1 & -1 \\ 0 & 1 \end{pmatrix}, \quad B^{-1}b = \begin{pmatrix} 2 \\ 3 \end{pmatrix}.$$

$$p^{\top} = (2,5)B^{-1} = (2,3).$$

$$\bar{c}_3 = 8 - (2,3)\begin{pmatrix} 2 \\ 1 \end{pmatrix} = 1, \qquad \bar{c}_4 = 6 - (2,3)\begin{pmatrix} 0 \\ 1 \end{pmatrix} = 3.$$

The same numbers appear in the objective dictionary. Matrix sensitivity and dictionary substitution express the same operations.

Degeneracy can make reported ranges basis-dependent

Consider $\max x$ subject to $x \le 1$, $x \le 1$, $x \ge 0$. The optimum is $x = 1$. Both constraints are active.

$$\min \; p_1 + p_2 \quad \text{s.t. } p_1 + p_2 \ge 1, \quad p_1, p_2 \ge 0.$$

Every $(p_1, p_2) = (t, 1 - t)$, $0 \le t \le 1$, is dual optimal. There is no unique price for one duplicated constraint.

> Increase only the first RHS: the second row still limits x to 1. Decrease the first RHS: it immediately becomes the limiting row. The value has a corner.

A reported zero allowable change or an active row with zero dual variable is therefore mathematically meaningful.